

issuers charge higher interest rates on cash advances (up to 28%) than they do on purchases. And most cash advances don't have a grace period; interest begins accruing the moment you get the cash. On top of the interest, you may have to pay a one-time fee of as much as \$35 or 4% of the amount you withdraw. You should also stay away from the "convenience checks" some issuers include with your statements (unless you're using them to transfer balances from higher-rate cards). These usually work the same way as cash advances, and you'll be charged accordingly.

- **Evaluate reward cards carefully.** With a reward card, whenever you charge, you earn points toward some product or service. Most reward deals make sense only if you pay off your entire balance each month. That's because the interest rates they charge are often higher than those of other cards. These higher rates can offset any rewards you get. Also, most reward deals—especially airline cards that allow you to earn frequent-flyer miles for every dollar you charge—pay off only if you charge a lot. You have to charge thousands of dollars (typically \$25,000) in order to get one free round-trip ticket from an airline card. And that assumes you can use the ticket to get a seat on a flight you want! If you don't carry a balance and you don't spend very much, look for a reward card that does not charge an annual fee—for example, the Sunoco MasterCard, which offers rebates on gas, or the Citi CashReturns MasterCard, which will send you regular checks for 1% of the cost of everything you buy with it.
- **Watch your limits.** You've probably heard stories about the couple in the fancy restaurant who has to scramble for cash after the guy's card gets turned down because he's surpassed his credit limit. Not long ago, if you made a charge that would put you over your credit limit, the cashier or waiter would tell you your card was declined. While that still happens, credit card issuers have systems that let them approve some over-the-limit transactions—without asking you—and then tack on a fee (as much as \$39) each time you